KAFF'S ENERGY STRIPS

Commercial Unit Economics & Multi-Channel Distribution Model (Demo Presentation Model with Full COD Breakdown)

EXECUTIVE SUMMARY (DEMO MODEL): This document outlines the commercial economics and channel feasibility for **KAFF'S Energy Strips**. It models base production costs of **₹100 Making + ₹15 Packaging = ₹115 for Pack of 5 (MRP ₹229)** and **₹200 Making + ₹35 Packaging = ₹235 for Pack of 10 (MRP ₹399)**. It details full unit-level economics across: **1) Website Prepaid (UPI/Cards)**, **2) Website Cash on Delivery (COD)**, **3) Amazon India (Easy Ship Pan-India)**, and **4) Quick Commerce (Blinkit & Zepto 10-minute dark store delivery)**.

1. PRODUCT SPECIFICATIONS & PRODUCTION COST BASELINE (COGS)

SKU Description	Retail MRP	Base Making Cost	Packaging & Box Finishing	Total Product Cost (COGS)
Pack of 5 Strips	**₹229.00**	₹100.00	₹15.00	**₹115.00**
Pack of 10 Strips	**₹399.00**	₹200.00	₹35.00	**₹235.00**

2. MASTER UNIT ECONOMICS (WEBSITE PREPAID vs. COD vs. AMAZON vs. QUICK COMMERCE)

Direct comparison showing the exact deductions, courier fees, platform commissions, and net cash margins.

Cost / Revenue Component	Website Prepaid (5)	Website COD (5)	Website Prepaid (10)	Website COD (10)	Amazon IN Pack of 10	Blinkit/Zepto Pack of 10
Customer Selling Price (MRP)	**₹229.00**	**₹229.00**	**₹399.00**	**₹399.00**	**₹399.00**	**₹399.00**
Product Cost (Making + Packaging)	-₹115.00	-₹115.00	-₹235.00	-₹235.00	-₹235.00	-₹235.00
Platform / Gateway Fee	-₹5.40 (2.36%)	₹0.00	-₹9.42 (2.36%)	₹0.00	-₹35.91 (9%)	-₹139.65 (35%)
Fixed Closing / Channel Fee	₹0.00	₹0.00	₹0.00	₹0.00	-₹26.00	₹0.00
Customer Delivery / Courier Fee	-₹55.00	-₹55.00	-₹55.00	-₹55.00	-₹75.00	₹0.00 (Platform)
COD Courier Handling Fee	₹0.00	**-₹35.00**	₹0.00	**-₹35.00**	Included	N/A
Outer Packaging / Flyer & Label	-₹8.00	-₹8.00	-₹8.00	-₹8.00	-₹5.00	-₹5.00 (Bulk crt)
GST on Shipping & Platform Fees	Included	Included	Included	Included	-₹24.64 (18%)	Included
SMS / WhatsApp Tracking Alerts	-₹0.60	-₹0.60	-₹0.60	-₹0.60	₹0.00	₹0.00
TOTAL DEDUCTIONS	**-₹184.00**	**-₹213.60**	**-₹308.02**	**-₹333.60**	**-₹401.55**	**-₹379.65**
NET IN-HAND PROFIT	**₹45.00**	**₹15.40 (~₹15)**	**₹90.98 (~₹91)**	**₹65.40 (~₹65)**	**-₹2.55 (~-₹3)**	**₹19.35 (~₹19)**
Net Margin (% of MRP)	**19.7%**	**6.7%**	**22.8%**	**16.4%**	**-0.6%**	**4.9%**

CRITICAL DEMO INSIGHTS (COD & CHANNELS):

- **COD Impact:** Couriers charge **₹35 per shipment** for handling cash, reducing Pack of 5 profit from **₹45 (Prepaid) down to ₹15 (COD)**, and Pack of 10 from **₹91 down to ₹65**.
- **The COD Fee Strategy:** Charging a **₹40 Cash on Delivery Fee** at checkout protects your margins and encourages customers to choose UPI payment.
- **Amazon Dynamics:** At ₹235 product cost + Amazon's 9% referral + ₹26 closing fee + ₹75 shipping + GST, selling a single Pack of 10 at ₹399 is break-even (-₹3). On Amazon, products must be priced at **₹449–₹499** or sold in multi-pack bundles (2x or 3x packs).

3. OPERATIONAL WORKFLOW: D2C WEBSITE & CASH ON DELIVERY (COD)

How orders move from website checkout to doorstep cash collection and settlement.

A. Payment & COD Processing Architecture

- **Prepaid Modes (Razorpay):** Instant UPI QR (GPay, PhonePe, Paytm, CRED), NetBanking, and Cards. Sells and settles on a T+2 business days cycle.
- **Cash on Delivery (COD) Mechanism:** Customer confirms order with mobile OTP verification to prevent fake addresses. Courier collects cash or dynamic UPI QR upon delivery.
- **COD Remittance (Bank Transfer):** Logistics partner (Shiprocket / Delhivery) holds collected cash and transfers it in weekly batches directly to your bank account.

B. Packaging & Logistics Fulfillment (Shiprocket Aggregator)

- **Courier Network:** Shiprocket auto-allocates the best courier based on destination (Delhivery, BlueDart, Shadowfax, Xpressbees).
- **Fulfillment Sequence:**
  1. Order appears in Merchant Dashboard with shipping address and payment status (Prepaid vs. COD).
  2. Pack strips into tamper-proof courier flyer (cost: ~■6–■8).
  3. Generate Air Waybill (AWB) shipping label and stick onto outer pouch.
  4. Courier executive picks up packages from your home/warehouse daily.
  5. Customer receives automated WhatsApp/SMS notifications with live tracking.

4. CHANNEL 2: AMAZON INDIA (EASY SHIP / FBA)

Amazon is optimal for consumer trust, search volume, and repeat re-orders.

A. Fee Breakdown (Health & Nutrition / Dietary Supplements)

- **Referral Fee:** 9% of selling price for dietary and energy strip products.
- **Closing Fee:** Tiered fixed fee (■12 for items ≤ ■250; ■26 for items between ■251–■500).
- **Weight Handling (National):** ~■75 per 500g delivery fee via Amazon Easy Ship.
- **18% GST:** Applied on all Amazon commission and courier fees.

B. Delivery Models

- **Amazon Easy Ship:** You store stock at your facility. Amazon ATS delivery vans pick up orders from your door daily.
- **Fulfillment by Amazon (FBA):** Ship master cartons to Amazon warehouse to unlock the **Prime Badge** (1–2 day guaranteed delivery).

5. CHANNEL 3: QUICK COMMERCE (BLINKIT, ZEPTO, INSTAMART)

Quick commerce platforms deliver to consumers within 10 minutes via localized neighborhood dark stores.

A. Commercial Terms

- **Trade Discount:** 30% to 40% retailer margin off MRP (standard industry baseline: 35%).
- **Customer Delivery Cost: ■0 for you** (borne entirely by Blinkit/Zepto). You only pay bulk freight to their Central Mother Hub (~■4–■5/box).
- **Payment Terms:** B2B credit cycle of **30 to 45 days** following Purchase Order (PO) receipt and inspection.

B. Mandatory Compliance & Packaging Requirements

1. **FSSAI License:** Valid food safety license for caffeinated/dietary formulations.
2. **GS1 EAN-13 Barcodes:** Scannable barcode registered with GS1 India printed on every retail box.
3. **NABL Lab Test Report (COA):** Valid Certificate of Analysis verifying nutritional specs, caffeine content, and microbiological safety.
4. **Shelf Life Requirement:** Products must retain at least **70%–80% shelf life** when delivered to the central distribution hub.

6. STEP-BY-STEP ONBOARDING ROADMAP (BLINKIT & ZEPTO)

Industry-standard process to secure category manager approvals and dark store listings:

Step	Action Item	Key Deliverables / Tactics
Step 1	**Compliance Audit**	Active GST certificate, FSSAI brand license, GS1 barcode registration, and NABL lab test report.
Step 2	**1-Page Pitch Deck (Sell Sheet)**	Highlight: Impulse consumption, sleek pocket-sized format, high dark-store storage density, 35% margin to platform.
Step 3	**Category Manager Outreach**	Connect with *'Category Manager - Health & Wellness / Impulse'* on LinkedIn. Send product sample kits directly to corporate headquarters.
Step 4	**Vendor Agreement**	Execute master supplier contract (35% margin, 30–45 day payment cycle, damage/expiry replacement terms).
Step 5	**Trial Purchase Order (PO)**	Platform issues trial PO (200–500 units for Delhi NCR or Mumbai hub). Dispatch master cartons to Mother Hub.
Step 6	**Dark Store Rollout & Go-Live**	Stock automatically distributed to 50+ neighborhood micro-warehouses. Live for 10-minute consumer ordering.

7. STRATEGIC GROWTH & PRICING RECOMMENDATIONS

1. Smart COD Fee Structure:
• Charge a ■**40 Cash on Delivery Fee** at checkout while keeping **UPI payments completely FREE**.
• This protects your net margin on COD orders (raising Pack of 5 profit from ■15 to ■55, and Pack of 10 from ■65 to ■105).
• More importantly, it motivates 70%+ of customers to pay instantly via UPI, eliminating courier return (RTO) risks.

2. Focus Marketing on the Hero SKU (Pack of 10):
• Because courier delivery (■55) and packaging are fixed costs, the **Pack of 10 generates over 2x to 4x more cash in your bank** than Pack of 5.
• Make the **Pack of 10 the default hero selection** on your website, ads, and product bundles.

8. SETUP & ONBOARDING CHECKLIST

[ ] **Step 1:** Set up **Razorpay** merchant account for instant UPI/Card payments.
[ ] **Step 2:** Register on **Shiprocket** with ■1,000 wallet recharge for integrated Pan-India courier shipping.
[ ] **Step 3:** Configure shipping options on website: **Free Delivery on Prepaid** and ■**40 Courier Fee on COD**.
[ ] **Step 4:** Procure 100 pcs tamper-proof courier flyer bags (6x8 inch) and A4 shipping sticker labels.
[ ] **Step 5:** Register 2 official barcodes on **GS1 India** for retail and dark-store scanning.
[ ] **Step 6:** Prepare NABL Lab Test Report and FSSAI license for Amazon and Quick Commerce onboarding.